

salaried worker. They are selling time. And their time is not that valuable.

They are also limited by time itself. You can sell only so many hours per day because there are only so many hours in a day.

Nor does family money usually come from investing. This is probably contrary to everything you've heard on the subject, so the burden of proof, again, is on us. We take it up as follows:

First, unless you are lucky or especially gifted, you are likely to get the same rate of return from your investments as just about everyone else. Even if you do exceptionally well from time to time, over the long run, your investment returns should regress to the mean.

It may surprise you to know that the stock market in the United States over the past century was not as rewarding as most people think it was. In 1900, the Dow index was at 51.60. In 2011, it ended the year at 12,100. That may seem like an incredible return. And it is. But it is not as incredible as it appears.

First, let's look at the Dow in [Figure 3.1](#).

[Figure 3.1](#) The Dow, 1900–2011

